

# MediaTek (2454 TT)

## Likely SpaceX Win, Strong TPU Traction

Maintained **Buy**  
Target price NT\$ 5,520

**Further raise TP to NT\$5,520:** Following our MTK report on Mar 25 (*On Path to >NT\$200 EPS Power on Raised CoWoS/EMIB*), on April 27 (*Two More Things!*) and MTK's earnings call on April 30, the share price was up 185%. Nevertheless, we continue to see positive developments: 1) higher ASP of Zebrafish and higher CoWoS builds in 2027; 2) MTK's strengthened position in TPU starting 2nm; 3) the win for 2<sup>nd</sup> ASIC customer, likely SpaceX. As such, we estimate the ASIC revenue to be \$2.2bn/\$18bn/\$48bn in 2026/27/28, based on higher Zebrafish's ASP of \$5.5k, slightly lower Humufish's ASP to \$14k and higher CoWoS volume. Hence, we revise our EPS estimates +2%/+17% in 2026E/2027E and lift TP from NT\$3,528 to NT\$5,520, now based on a 40x 2027E EPS or 23.5x 2028E EPS.

**New datacenter ASIC opportunities likely be SpaceX:** Per its April earnings call, mgmt believes it has several new datacenter opportunities, and some are in the final stage. Based on the relationship among Tesla, Intel and MTK, we expect the new ASIC opportunity to be SpaceX. From Intel's perspective, we expect the Intel-Tesla Terafab cooperation to not only include the previously mentioned AI6 variant (highlighted in our report on April 16) but xAI's datacenter ASIC likely based on 14A and EMIB-T. We expect MTK to be the design service provider, backed by capabilities of I/O and multi-packaging platform. We expect the project's volume production in late-2028, and it is reasonable to expect a significant volume in 2029.

**Raise CoWoS build plan and ASPs for Zebrafish:** We reiterate our earlier view of an on-track ramp of Zebrafish. Driven by robust TPU demand, our supply chain research suggests an once again raise for CoWoS from 160k to 180k in 2027, and we believe the capacity allocation is based on a strong commitment from TSMC. With higher demand and capacity need, we revise up the ASP from \$4.5k to \$5.5k, resulting in a \$17.8bn datacenter ASIC revenue in 2027E, higher than guidance of \$8bn-\$12bn and consensus' \$13bn-\$14bn.

**Strengthened position in TPU amid on-track EMIB yields:** Since May 18, it is widely known that MTK competitor's PumaFish was cancelled, suggesting that MTK will be the first mover to 2nm (Humufish) based on timeline of tape-out by end-2026 and MP by end-2027. We believe MTK has high visibility for the successor of Humufish (chip name Helios Next) for tape-out by mid-2027 and featuring multiple N2P dies for compute and I/O. We reiterate our view of ~90% yields for EMIB and believe EMIB has started trial for several external AI chips.

**Risks:** 1) AI demand slowdown; 2) consumer demand; 3) peer competition.

### Profit forecast

|                    | 2024    | 2025    | 2026E   | 2027E     | 2028E     |
|--------------------|---------|---------|---------|-----------|-----------|
| Revenue (m)        | 530,586 | 595,966 | 680,816 | 1,307,612 | 2,380,546 |
| Revenue YoY (%)    | 22.4    | 12.3    | 14.2    | 92.1      | 82.1      |
| Net profit (m)     | 106,387 | 105,319 | 106,708 | 219,673   | 377,969   |
| Net profit YoY (%) | 38.2    | -1.0    | 1.3     | 105.9     | 72.1      |
| EPS (NT\$)         | 66.9    | 66.2    | 67.0    | 138.0     | 237.4     |
| P/E                | 39.0    | 39.5    | 38.9    | 18.9      | 11.0      |
| ROE (%)            | 26.3    | 25.7    | 26.5    | 54.1      | 99.1      |

Source: Company data, GF Securities (Hong Kong) Brokerage.

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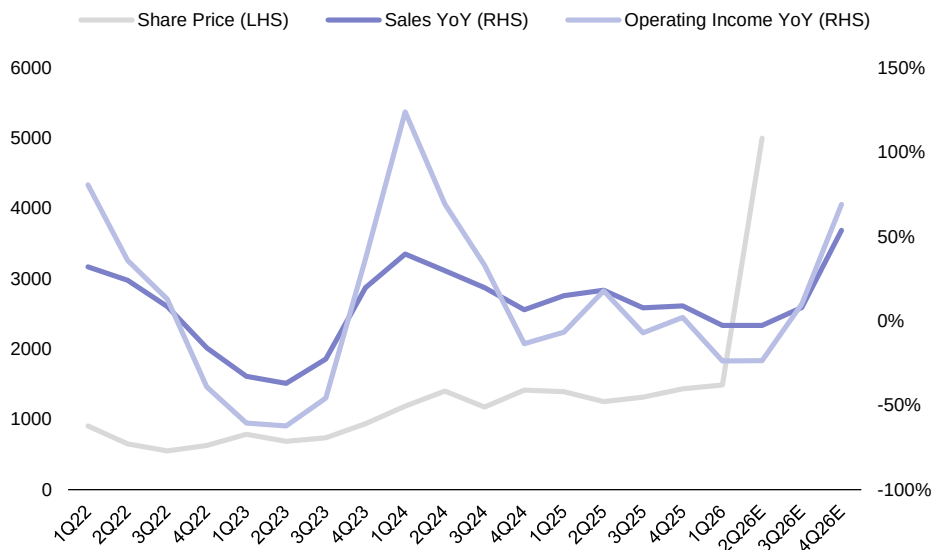
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## Earnings Forecast

Figure 1: MTK share price (NT\$), vs. revenue YoY (%), OP YoY (%)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: Google TPU Roadmap

|                              | TPU v5e     | TPU v5p     | TPU v6e                 | TPU v7<br>Ironwood | TPU 8i      | TPU 8t      | TPU v9x      | TPU v10ax    | TPU v10x                  |
|------------------------------|-------------|-------------|-------------------------|--------------------|-------------|-------------|--------------|--------------|---------------------------|
| Code name                    | Viperlite   | Viperfish   | Trillium /<br>Ghostlite | Ghostfish          | Sunfish     | Zebrafish   | Humufish     | Icefish      | Chip Name:<br>Helios Next |
| Time                         | 2Q23        | 1Q24        | 4Q24                    | 4Q25               | 4Q26        | 4Q26        | 4Q27         | 2Q28         | 4Q28                      |
| Design Service -<br>compute  | BRCM        | BRCM        | BRCM                    | BRCM               | BRCM        | GOOG        | GOOG         | BRCM         | GOOG                      |
| Design Service -<br>I/O      | BRCM        | BRCM        | BRCM                    | BRCM               | BRCM        | MTK         | MTK          | BRCM         | MTK                       |
| Design Service -<br>back-end | BRCM        | BRCM        | BRCM                    | BRCM               | BRCM        | MTK         | MTK          | BRCM         | MTK                       |
| Compute                      | 1*N5        | 1*N5        | 1*N5P                   | 2*N3E              | 2*N3P       | 1*N3P       | (4*N2)*2     | A16          | N2P*8+N2P*16              |
| I/O                          |             |             |                         | 1*N5               | 2*N3P       | 1*N3P       | (2*N3)*2     | N3           | N2P*6                     |
| On-chip SRAM                 |             |             |                         |                    | 384MB       | 128MB       |              |              |                           |
| Memory                       | 2*HBM2e 4hi | 6*HBM2e 4hi | 6*HBM3 8hi              | 8*HBM3e 12hi       | 8*HBM3e 8hi | 6*HBM3e 8hi | 8*HBM4e 12Hi | 8*HBM4e 12Hi | 16*HBM4e 12hi             |
| Memory Spec                  | 16GB        | 95GB        | 32GB                    | 192GB              | 288GB       | 216GB       | 384GB        |              |                           |
| Memory BW<br>(TB/s)          | 0.82        | 2.77        | 1.64                    | 7.4                | 8.6         | 6.5         | 32.8         | 32.8         |                           |
| Back-end                     | 300         | 550         | 390                     | 980                |             |             |              |              |                           |
| Back-end                     | CoWoS-S     | CoWoS-S     | CoWoS-S                 | CoWoS-S            | CoWoS-L     | CoWoS-S     | EMIB-T       | CoWoS-S/SOIC | EMIB-T or<br>CoWoS        |
| Pod                          | 256         | 8960        | 256                     | 9216               | 1152        | 9600        |              |              |                           |

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: Meta's ASIC Roadmap

|                           | MTIA 200 | MTIA 300     | MTIA 400      | MTIA 450     | MTIA 500     | MTIA 600 |
|---------------------------|----------|--------------|---------------|--------------|--------------|----------|
| Code name                 | Artemis  | Athena       | Iris Plus     | ARKE         | Astrid       | Apollo   |
| Time                      | 4Q24     | 2Q26         | 4Q26          | 1Q27         | 3Q27         | 2Q28     |
| Design Service - compute  | BRCM     | BRCM         | BRCM          | BRCM         | TBD          | TBD      |
| Design Service - I/O      | BRCM     | BRCM         | BRCM          | BRCM         | TBD          | TBD      |
| Design Service - back-end | BRCM     | BRCM         | BRCM          | BRCM         | TBD          | TBD      |
| Compute                   | N5       | 1*N3E        | 2*N3E         | 1*N2         | N2           | N2P      |
| I/O                       |          | 2*N4         | 2*N4 (+1 SoC) | 1*N3         | N3           | N3       |
| Memory                    | LPDDR5   | 6*HBM3e 12Hi | 8*HBM3e 12Hi  | 8*HBM3e 12Hi | 8*HBM4e 12Hi | TBD      |
| Memory Spec               | 128GB    | 216GB        | 288GB         | 288GB        | 384GB        | TBD      |
| Memory BW (TB/s)          | 0.2      | 6.1          | 9.2           | 18.4         | 27.6         | TBD      |
| TDP (W)                   | 90       | 800          | 1200          | 1400         | 1700         | TBD      |
| Back-end                  | FC       | CoWoS-S      | CoWoS-L       | CoWoS-L      | CoWoS-L      | CoWoS-L  |

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 4: MTK's TPU earnings assumptions

|                                    | 2026 | 2027  | 2028  |
|------------------------------------|------|-------|-------|
| Revenue analysis (Units in m, USD) |      |       |       |
| TPU v8x (A5921/Zebrafish)          | 0.4  | 3.3   | 0.2   |
| TPU v8e (Humufish)                 |      | 0.0   | 3.4   |
| TPU v8x - USD                      | 5500 | 5418  | 5023  |
| TPU v8e - USD                      |      | 14000 | 13930 |
| Revenue (USD bn)                   | 2.2  | 17.8  | 48.3  |
| Revenue (NTD bn)                   | 69   | 562   | 1523  |
| %                                  | 10%  | 43%   | 64%   |
| Net margin                         | 15%  | 19%   | 17%   |
| Net earnings (NTD bn)              | 10   | 107   | 259   |
| %                                  | 10%  | 49%   | 68%   |
| EPS (DC ASIC, NTD)                 | 7    | 67    | 163   |

Sources: Company data, GF Securities (Hong Kong) Brokerage

## Earnings revision

we estimate the ASIC revenue to be \$2.2bn/\$18bn/\$48bn in 2026/27/28, based on higher Zebrafish's ASP of \$5.5k, slightly lower Humufish's ASP to \$14k and higher CoWoS volume. Hence, we revise our EPS estimates +2%/+17% in 2026E/2027E

**Figure 5: Earnings revision**

| NTD m                 | 2025    | 2026E   |         | 2027E     |           | Change (%) |       |
|-----------------------|---------|---------|---------|-----------|-----------|------------|-------|
|                       |         | Old     | New     | Old       | New       | 2026E      | 2027E |
| Net sales             | 595,966 | 683,273 | 680,816 | 1,196,569 | 1,307,612 | 0%         | 9%    |
| Gross profit          | 283,080 | 311,474 | 309,840 | 528,995   | 570,592   | -1%        | 8%    |
| EBIT                  | 103,470 | 103,979 | 106,582 | 199,282   | 236,425   | 3%         | 19%   |
| Pre-tax Income        | 124,888 | 120,493 | 123,096 | 216,704   | 254,074   | 2%         | 17%   |
| Net profit            | 105,319 | 104,418 | 106,708 | 187,228   | 219,673   | 2%         | 17%   |
| EPS (NT\$)            | 66.2    | 65.6    | 67.0    | 117.6     | 138.0     | 2%         | 17%   |
| <b>Key ratios (%)</b> |         |         |         |           |           |            |       |
| Gross margin          | 47.5%   | 45.6%   | 45.5%   | 44.2%     | 43.6%     |            |       |
| Operating margin      | 17.4%   | 15.2%   | 15.7%   | 16.7%     | 18.1%     |            |       |
| Pre-tax margin        | 21.0%   | 17.6%   | 18.1%   | 18.1%     | 19.4%     |            |       |
| Net profit margin     | 17.7%   | 15.3%   | 15.7%   | 15.6%     | 16.8%     |            |       |

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 6: MTK's P&L forecast

| (NTD m)            | 2025    | 1Q26    | 2Q26E   | 3Q26E   | 4Q26E   | 2026E    | 1Q27E   | 2Q27E   | 3Q27E   | 4Q27E   | 2027E     |
|--------------------|---------|---------|---------|---------|---------|----------|---------|---------|---------|---------|-----------|
| Sales              | 595,966 | 149,151 | 146,166 | 153,711 | 231,788 | 680,816  | 273,959 | 315,436 | 364,414 | 353,803 | 1,307,612 |
| COGS               | 312,886 | 80,096  | 78,432  | 82,393  | 130,055 | 370,976  | 154,261 | 177,352 | 205,407 | 200,000 | 737,020   |
| Gross profit       | 283,080 | 69,055  | 67,734  | 71,318  | 101,733 | 309,840  | 119,698 | 138,084 | 159,006 | 153,803 | 570,592   |
| Opex               | 179,611 | 46,164  | -45,311 | -46,882 | -64,901 | -203,258 | -72,599 | -82,013 | -91,103 | -88,451 | -334,167  |
| Operating profit   | 103,469 | 22,891  | 22,423  | 24,436  | 36,832  | 106,582  | 47,099  | 56,071  | 67,903  | 65,353  | 236,425   |
| Non-op profit      | 21,419  | 4,129   | 4,129   | 4,129   | 4,129   | 16,514   | 4,412   | 4,412   | 4,412   | 4,412   | 17,649    |
| Pre-tax profit     | 124,888 | 27,019  | 26,551  | 28,565  | 40,961  | 123,096  | 51,511  | 60,483  | 72,315  | 69,765  | 254,074   |
| Tax & Minority     | 19,569  | 2,865   | 4,736   | 3,650   | 5,137   | 16,388   | 6,403   | 10,504  | 8,900   | 8,594   | 34,401    |
| Net Income         | 105,320 | 24,154  | 21,815  | 24,915  | 35,823  | 106,708  | 45,108  | 49,979  | 63,415  | 61,171  | 219,673   |
| EPS (NTD)          | 66.2    | 15.2    | 13.7    | 15.7    | 22.5    | 67.0     | 28.3    | 31.4    | 39.8    | 38.4    | 138.0     |
| Outstanding shares | 1,592   | 1,592   | 1,592   | 1,592   | 1,592   | 1,592    | 1,592   | 1,592   | 1,592   | 1,592   | 1,592     |
| Margin analysis    |         |         |         |         |         |          |         |         |         |         |           |
| Gross margin       | 47.5%   | 46.3%   | 46.3%   | 46.4%   | 43.9%   | 45.5%    | 43.7%   | 43.8%   | 43.6%   | 43.5%   | 43.6%     |
| Operating margin   | 17.4%   | 15.3%   | 15.3%   | 15.9%   | 15.9%   | 15.7%    | 17.2%   | 17.8%   | 18.6%   | 18.5%   | 18.1%     |
| Pre-tax margin     | 21.0%   | 18.1%   | 18.2%   | 18.6%   | 17.7%   | 18.1%    | 18.8%   | 19.2%   | 19.8%   | 19.7%   | 19.4%     |
| Effective tax rate | 15.7%   | 10.6%   | 17.8%   | 12.8%   | 12.5%   | 13.3%    | 12.4%   | 17.4%   | 12.3%   | 12.3%   | 13.5%     |
| Growth (YoY%)      |         |         |         |         |         |          |         |         |         |         |           |
| Sales              | 12%     | -3%     | -3%     | 8%      | 54%     | 14%      | 84%     | 116%    | 137%    | 53%     | 92%       |
| Operating profit   | 1%      | -24%    | -24%    | 10%     | 69%     | 3%       | 106%    | 150%    | 178%    | 77%     | 122%      |
| Net income         | -1%     | -18%    | -22%    | -1%     | 56%     | 1%       | 87%     | 129%    | 155%    | 71%     | 106%      |
| EPS                | -1%     | -18%    | -22%    | -1%     | 56%     | 1%       | 87%     | 129%    | 155%    | 71%     | 106%      |
| Product mix (%)    |         |         |         |         |         |          |         |         |         |         |           |
| Mobile             | 55%     | 49%     | 43%     | 41%     | 32%     | 40%      | 29%     | 25%     | 25%     | 29%     | 27%       |
| Smart edge         | 40%     | 46%     | 52%     | 53%     | 65%     | 55%      | 68%     | 72%     | 72%     | 68%     | 70%       |
| PMIC               | 5%      | 5%      | 6%      | 6%      | 4%      | 5%       | 3%      | 3%      | 3%      | 3%      | 3%        |

Sources: Company data, GF Securities (Hong Kong) Brokerage

## Valuation and Recommendation

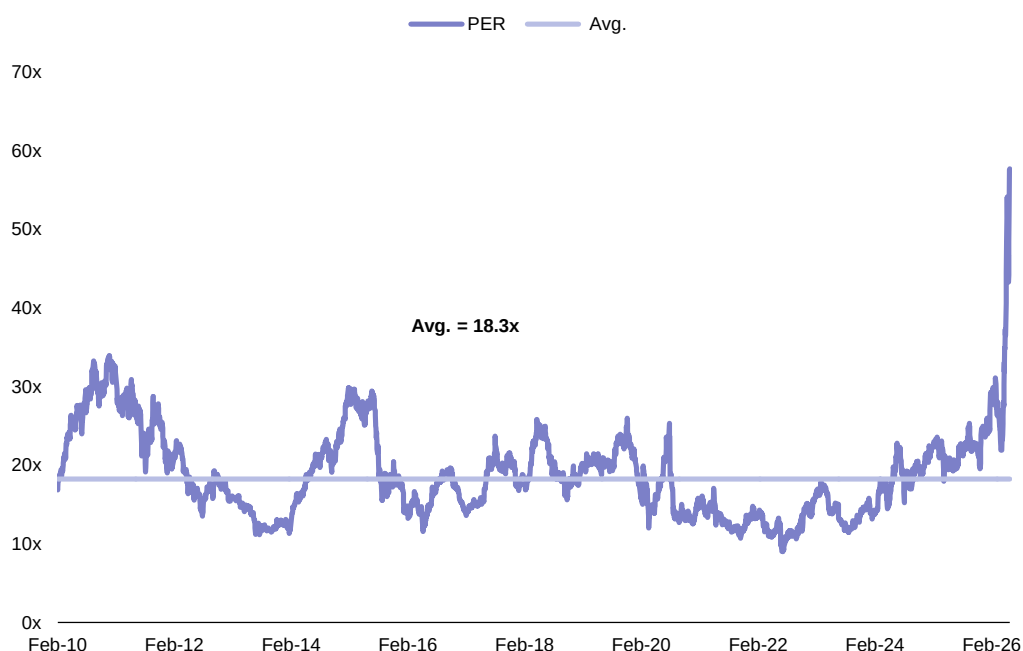
### Maintain Buy with TP of \$5,520

We rate MTK (2454 TT) Buy and set our TP at NT\$5,520 which is based on 40x our 2027E EPS estimate or 23.5x 2028E EPS. We adopt 2027 and/or 2028 as valuation basis to capture its datacenter ASIC potential which is the key market focus and expect the business to take off starting 2027. We adopt P/E methodology as we believe the market now mainly focuses on the company's earnings outlook, and we usually apply P/E method to downstream firms.

MTK's P/E traded at an average of 18x since 2021 but was up to an average of 22x since 1Q24 when the company starts to see the AI opportunity. Our target multiple for 2027 is much higher than the mid-cycle level given Google TPU momentum and our bullish estimate of its 2027E/2028E earnings growth. However, our target price implied 2028 multiple is only 20% higher than the mid-cycle level.

Fundamentally, we are positive on MTK, as it is well-positioned to expand its value position in smartphone SoCs amid the edge-AI trend, as well as the expansion into datacenter/enterprise ASICs and smart automotive solutions. The datacenter ASIC business is the key for upside, in our view, and we expect TPU to provide a volume boost for MTK, while the market will continue to monitor for its execution.

Figure 7: MTK's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

### Risks

1) AI demand slowdown; 2) consumer demand; 3) peer competition.

| Balance Sheet                         |                |                |                |                  | NTD mn           |
|---------------------------------------|----------------|----------------|----------------|------------------|------------------|
|                                       | 2024           | 2025           | 2026E          | 2027E            | 2028E            |
| <b>Current assets</b>                 | <b>351,025</b> | <b>397,456</b> | <b>431,265</b> | <b>745,963</b>   | <b>1,271,075</b> |
| Cash and cash equivalents             | 208,967        | 237,128        | 228,649        | 296,713          | 378,180          |
| Inventory                             | 44,713         | 62,121         | 83,936         | 197,037          | 391,323          |
| Accounts Receivable                   | 58,414         | 67,235         | 83,297         | 184,255          | 377,854          |
| Other current assets                  | 38,931         | 30,973         | 35,383         | 67,958           | 123,719          |
| <b>Non-current assets</b>             | <b>346,842</b> | <b>346,329</b> | <b>349,651</b> | <b>351,824</b>   | <b>352,889</b>   |
| Long-term equity investment           | 169,970        | 168,912        | 170,912        | 172,912          | 174,912          |
| Fixed assets                          | 56,917         | 60,427         | 61,750         | 61,922           | 60,987           |
| Other long-term assets                | 119,955        | 116,990        | 116,990        | 116,990          | 116,990          |
| <b>Total assets</b>                   | <b>697,868</b> | <b>743,785</b> | <b>780,916</b> | <b>1,097,786</b> | <b>1,623,964</b> |
| <b>Current liabilities</b>            | <b>266,902</b> | <b>303,350</b> | <b>347,900</b> | <b>665,145</b>   | <b>1,217,352</b> |
| Accounts Payable                      | 40,777         | 48,710         | 57,753         | 114,739          | 217,649          |
| Short-term borrowings                 | 8,919          | 4,481          | 4,371          | 1,530            | 459              |
| Other current liabilities             | 217,207        | 250,159        | 285,775        | 548,876          | 999,244          |
| <b>Non-current liabilities</b>        | <b>25,910</b>  | <b>31,240</b>  | <b>31,073</b>  | <b>26,765</b>    | <b>25,141</b>    |
| Long-term Debt                        | -              | 6,795          | 6,629          | 2,320            | 696              |
| Other non-current liabilities         | 25,910         | 24,444         | 24,444         | 24,444           | 24,444           |
| <b>Total liabilities</b>              | <b>292,812</b> | <b>334,590</b> | <b>378,973</b> | <b>691,909</b>   | <b>1,242,493</b> |
| <b>Total Equity</b>                   | <b>405,055</b> | <b>409,195</b> | <b>401,943</b> | <b>405,877</b>   | <b>381,471</b>   |
| Share Capital                         | 16,017         | 16,039         | 16,039         | 16,039           | 16,039           |
| Additional Paid-in Capital            | 80,703         | 65,023         | 45,023         | 5,023            | -94,977          |
| Retained earnings                     | 299,907        | 319,539        | 332,287        | 376,221          | 451,815          |
| Minority interests                    | 8,428          | 8,594          | 8,594          | 8,594            | 8,594            |
| <b>Total Liabilities &amp; Equity</b> | <b>697,868</b> | <b>743,785</b> | <b>780,916</b> | <b>1,097,786</b> | <b>1,623,964</b> |

| Income Statement                 |                |                |                |                  | NTD mn           |
|----------------------------------|----------------|----------------|----------------|------------------|------------------|
|                                  | 2024           | 2025           | 2026E          | 2027E            | 2028E            |
| <b>Revenue</b>                   | <b>530,586</b> | <b>595,966</b> | <b>680,816</b> | <b>1,307,612</b> | <b>2,380,546</b> |
| Cost of sales                    | 267,200        | 312,886        | 370,976        | 737,020          | 1,398,058        |
| <b>Gross profit</b>              | <b>263,386</b> | <b>283,080</b> | <b>309,840</b> | <b>570,592</b>   | <b>982,488</b>   |
| Operating Expense                | 160,974        | 179,610        | 203,258        | 334,167          | 565,874          |
| <b>Operating profit</b>          | <b>102,412</b> | <b>103,470</b> | <b>106,582</b> | <b>236,425</b>   | <b>416,614</b>   |
| Interest Income                  | 11,150         | 10,819         | 6,987          | 7,880            | 10,123           |
| Interest Expense                 | 453            | 652            | 724            | 483              | 163              |
| Net other Non-op. Income/(Loss)  | 6,410          | 11,251         | 10,251         | 10,251           | 10,251           |
| <b>Pre-tax profit</b>            | <b>119,519</b> | <b>124,888</b> | <b>123,096</b> | <b>254,074</b>   | <b>436,826</b>   |
| Income tax                       | 12,378         | 18,770         | 15,500         | 33,513           | 57,969           |
| <b>Profit for the year</b>       | <b>107,141</b> | <b>106,118</b> | <b>107,596</b> | <b>220,561</b>   | <b>378,857</b>   |
| Minority interest                | 754            | 798            | 888            | 888              | 888              |
| <b>Net profit to ord. equity</b> | <b>106,387</b> | <b>105,319</b> | <b>106,708</b> | <b>219,673</b>   | <b>377,969</b>   |
| <b>EPS (NT\$)</b>                | <b>66.9</b>    | <b>66.2</b>    | <b>67.0</b>    | <b>138.0</b>     | <b>237.4</b>     |

| Cash Flow Statement         |                |                 |                 |                 | NTD mn          |
|-----------------------------|----------------|-----------------|-----------------|-----------------|-----------------|
|                             | 2024           | 2025            | 2026E           | 2027E           | 2028E           |
| <b>Operating cash flow</b>  | <b>141,801</b> | <b>155,333</b>  | <b>132,806</b>  | <b>318,000</b>  | <b>513,585</b>  |
| Profit for the year         | 106,387        | 105,319         | 106,708         | 219,673         | 377,969         |
| Depreciation & amortization | 20,936         | 22,974          | 23,325          | 24,475          | 25,583          |
| Change in working capital   | 11,573         | 22,616          | 2,372           | 73,452          | 109,634         |
| Others                      | 2,905          | 4,424           | 400             | 400             | 400             |
| <b>Investing cash flow</b>  | <b>-26,534</b> | <b>-26,885</b>  | <b>-27,048</b>  | <b>-27,048</b>  | <b>-27,048</b>  |
| Capex                       | -16,186        | -16,846         | -15,009         | -15,009         | -15,009         |
| Change in investment        | 12,522         | -6,674          | -9,639          | -9,639          | -9,639          |
| Others                      | -22,870        | -3,365          | -2,400          | -2,400          | -2,400          |
| <b>Free cash flow</b>       | <b>115,268</b> | <b>128,449</b>  | <b>105,758</b>  | <b>290,952</b>  | <b>486,537</b>  |
| <b>Financing cash flow</b>  | <b>-77,368</b> | <b>-100,288</b> | <b>-114,237</b> | <b>-222,889</b> | <b>-405,070</b> |
| Change in Capital           | -75,537        | -101,180        | -113,961        | -215,739        | -402,375        |
| Net Change in Debt          | 1,093          | 2,357           | -276            | -7,150          | -2,695          |
| Others                      | -2,924         | -1,465          | -               | -               | -               |
| <b>Exchange influence</b>   | <b>8,292</b>   | <b>-5,770</b>   | <b>-</b>        | <b>-</b>        | <b>-</b>        |
| <b>Net increase in cash</b> | <b>37,900</b>  | <b>28,161</b>   | <b>-8,479</b>   | <b>68,064</b>   | <b>81,467</b>   |

| Key Financial Ratios    |          |          |          |          |          |
|-------------------------|----------|----------|----------|----------|----------|
|                         | 2024     | 2025     | 2026E    | 2027E    | 2028E    |
| <b>Growth</b>           |          |          |          |          |          |
| Revenue growth          | 22.4     | 12.3     | 14.2     | 92.1     | 82.1     |
| Operating profit growth | 27.0     | 7.5      | 9.5      | 84.2     | 72.2     |
| Net profit growth       | 38.2     | -1.0     | 1.3      | 105.9    | 2.1      |
| <b>Profitability</b>    |          |          |          |          |          |
| Gross profit margin     | 49.6     | 47.5     | 45.5     | 43.6     | 41.3     |
| Operating Profit Margin | 19.3     | 17.4     | 15.7     | 18.1     | 17.5     |
| Net profit margin       | 20.1     | 17.7     | 15.7     | 16.8     | 15.9     |
| <b>Key Ratio</b>        |          |          |          |          |          |
| ROA                     | 15.2     | 14.2     | 13.7     | 20.0     | 23.3     |
| ROE                     | 26.3     | 25.7     | 26.5     | 54.1     | 99.1     |
| <b>Stability</b>        |          |          |          |          |          |
| Gross debt/equity       | 0.0      | 0.0      | 0.0      | 0.0      | 0.0      |
| Interest Coverage       | 226      | 159      | 147      | 490      | 2,561    |
| Current Ratio           | 1.3      | 1.3      | 1.2      | 1.1      | 1.0      |
| Quick Ratio             | 1.1      | 1.1      | 1.0      | 0.8      | 0.7      |
| Net debt/equity         | Net Cash | Net Cash | Net Cash | Net Cash | Net Cash |

## Rating definitions Benchmark: Hang Seng Index (Hong Kong)

|                        |                     |                                                                 |
|------------------------|---------------------|-----------------------------------------------------------------|
| <b>Company ratings</b> | <b>Buy</b>          | Stock expected to outperform benchmark by more than 10%         |
|                        | <b>Hold</b>         | Expected stock relative performance ranges between -10% and 10% |
|                        | <b>Underperform</b> | Stock expected to underperform benchmark by more than 10%       |

|                       |                 |                                                                  |
|-----------------------|-----------------|------------------------------------------------------------------|
| <b>Sector ratings</b> | <b>Positive</b> | Sector expected to outperform benchmark by more than 10%         |
|                       | <b>Neutral</b>  | Expected sector relative performance ranges between -10% and 10% |
|                       | <b>Cautious</b> | Sector expected to underperform benchmark by more than 10%       |

|                  |                  |                                                       |
|------------------|------------------|-------------------------------------------------------|
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